

mortgage has a 3.0% interest rate, while the 30-year mortgage has a 3.5% interest rate.⁷¹

Next, think about the length of the loan. Sure, the monthly payments are lower with the 30-year option, but you need to pay those for an additional 15 years. Do you really want to be paying for something for three decades of your life? In that time period, you can have a kid, and that kid can graduate high school and college, get married, and even have kids of their own. You could literally become a parent and grandparent before you finish paying your mortgage. Paying a home off earlier will save you huge amounts of money in the long run, free up your budget much sooner, and provide an invaluable sense of emotional relief knowing your home is paid in full.

⁷¹ Remember, these specific interest rates are not always the ones you will receive. They are referenced here as common interest rates for the year 2020.